CASCADIA ANALYTICS

Norfolk Southern Corporation

Equity Research Note | NSC | 22 OCTOBER 2026

Merger Paper, Not a Railroad

Norfolk Southern screens as a Hold, Valuation Concerns with a $209.87 blended target, 38% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$338.23	$209.87	-38%	HOLD, VALUATION CONCERNS

Investment Thesis

Merger Paper, Not a Railroad. Union Pacific agreed to pay 1.0 UNP share plus $88.82 cash per NSC share, worth $320 at announcement, a 25% premium [8-K guid]. The STB accepted the revised application in May 2026, rejected dismissal motions in September, and set a procedural schedule; the companies expect to close in the second half of 2027. Duopoly Economics Improving. Eastern US Class I with record $3.5B quarterly revenue, +4% volume, and a GAAP operating ratio recovered from 76.5% in FY23 to 64.2% in FY25.

- Merger Paper, Not a Railroad
- Duopoly Economics Improving
- Standalone Price Makes No Sense

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The latest print

Duopoly Economics Improving. Eastern US Class I with record $3.5B quarterly revenue, +4% volume, and a GAAP operating ratio recovered from 76.5% in FY23 to 64.2% in FY25. Dividend of $5.40 annualized. The franchise is strong even if the price is not.

Standalone Price Makes No Sense. At $338.23, the stock trades 68% above our $218.98 DCF base and the reverse DCF demands a 20.2% revenue CAGR. Without the merger, downside is severe. This is a bet on STB approval, not on the railroad.

$3.5B	65.5%	$3.52	$16.6B	$5.40	$8.8-8.9B
REVENUE (Q2 2026)	ADJ OPERATING RATIO (Q2 2026)	ADJ DILUTED EPS (Q2 2026)	TOTAL DEBT	ANNUALIZED DIVIDEND	FY2026 ADJ OPEX GUIDE

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 2026)	$3.5B	+11% (record quarter)	Up
Adj Operating Ratio (Q2 2026)	65.5%	Worse by 210 bps	Down
Adj Diluted EPS (Q2 2026)	$3.52	+7%	Up
Total Debt	$16.6B	D/E 116%	Flat
Annualized Dividend	$5.40	1.65% yield	Flat
FY2026 Adj Opex Guide	$8.8-8.9B	Raised after Q2	Up
Merger Implied Value (at announcement)	$320	25% premium to 30-day VWAP	Flat

The moat

UP merger at $320/share value (1.0 UNP share + $88.82 cash), 25% premium, STB review advancing

The growth engine

Record $3.5B quarterly revenue on +4% volume and +11% YoY growth

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Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	2.7%	$14.34B	33.5%	**$143.90**	-57%
Base	50%	3.8%	$15.42B	36.6%	**$218.98**	-35%
Bull	25%	4.8%	$16.34B	38.4%	**$257.62**	-24%

Bear: downside case at $143.90 (-57%).

Base: central case at $218.98 (-35%).

Bull: upside case at $257.62 (-24%).

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The probability-blended target implies 38% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -38% from the $338.23 reference price.

$209.87
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2026E)	**$13.26B**
Valuation horizon	**2026-2030**
Live WACC	**8.90%**
Terminal growth	**2.5%**
Net debt	**$15.55B**
2030 FCF (Base)	**$3.27B**
10-year Treasury yield	**5.0%**
Beta	**1.29**
Equity risk premium	**3.7%**

HOLD, VALUATION CONCERNS | $209.87 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 20.2%, market-implied 5-yr revenue CAGR: 20.2%.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$25.2B	$43.07	+10%	$60.9B	$202.14	+30%	$131.9B	$518.06	+50%	$260.1B	$1,088.68
-9%	$26.4B	$48.46	+11%	$63.5B	$213.53	+31%	$136.7B	$539.59	+51%	$268.5B	$1,126.11
-8%	$27.7B	$54.08	+12%	$66.2B	$225.31	+32%	$141.7B	$561.76	+52%	$277.1B	$1,164.52
-7%	$29.0B	$59.92	+13%	$68.9B	$237.50	+33%	$146.9B	$584.59	+53%	$286.0B	$1,203.93
-6%	$30.4B	$66.01	+14%	$71.7B	$250.10	+34%	$152.1B	$608.10	+54%	$295.0B	$1,244.36
-5%	$31.8B	$72.33	+15%	$74.6B	$263.14	+35%	$157.6B	$632.29	+55%	$304.4B	$1,285.82
-4%	$33.3B	$78.91	+16%	$77.7B	$276.61	+36%	$163.2B	$657.19	+56%	$313.9B	$1,328.34
-3%	$34.8B	$85.75	+17%	$80.8B	$290.53	+37%	$168.9B	$682.81	+57%	$323.7B	$1,371.94
-2%	$36.4B	$92.86	+18%	$84.0B	$304.92	+38%	$174.8B	$709.16	+58%	$333.7B	$1,416.63
-1%	$38.1B	$100.24	+19%	$87.4B	$319.78	+39%	$180.9B	$736.26	+59%	$344.0B	$1,462.45
+0%	$39.8B	$107.91	**+20%**	**$90.8B**	**$335.13**	+40%	$187.2B	$764.12	+60%	$354.6B	$1,509.40
+1%	$41.6B	$115.87	+21%	$94.4B	$350.97	+41%	$193.6B	$792.78	+61%	$365.4B	$1,557.52
+2%	$43.4B	$124.13	+22%	$98.1B	$367.32	+42%	$200.2B	$822.23	+62%	$376.4B	$1,606.81
+3%	$45.4B	$132.70	+23%	$101.8B	$384.20	+43%	$207.0B	$852.49	+63%	$387.8B	$1,657.31
+4%	$47.3B	$141.59	+24%	$105.8B	$401.61	+44%	$214.0B	$883.59	+64%	$399.4B	$1,709.04
+5%	$49.4B	$150.81	+25%	$109.8B	$419.57	+45%	$221.2B	$915.54	+65%	$411.3B	$1,762.02
+6%	$51.6B	$160.36	+26%	$113.9B	$438.09	+46%	$228.6B	$948.36	+66%	$423.5B	$1,816.27
+7%	$53.8B	$170.26	+27%	$118.2B	$457.19	+47%	$236.1B	$982.07	+67%	$436.0B	$1,871.81
+8%	$56.1B	$180.52	+28%	$122.7B	$476.87	+48%	$243.9B	$1,016.68	+68%	$448.7B	$1,928.67
+9%	$58.5B	$191.14	+29%	$127.2B	$497.16	+49%	$251.9B	$1,052.21	+69%	$461.8B	$1,986.88

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$47.87B	—	2.5%	-$15.55B	$32.32B	**$143.90**
Base	$64.73B	—	2.5%	-$15.55B	$49.18B	**$218.98**
Bull	$73.41B	—	2.5%	-$15.55B	$57.86B	**$257.62**

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Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$143.90	$156.71	$159.57	$162.14	$164.48	$166.62
Base	$218.98	$238.47	$247.07	$255.47	$263.89	$272.29
Bull	$257.62	$280.55	$291.59	$302.37	$313.13	$323.82

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $209.87 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

UP merger at $320/share value (1.0 UNP share + $88.82 cash), 25% premium, STB review advancing

Record $3.5B quarterly revenue on +4% volume and +11% YoY growth

Operating ratio recovery: GAAP OR from 76.5% (FY23) to 64.2% (FY25), $215M+ productivity savings

Intermodal and industrial demand improving across key markets in 2026

Revenue and margin trend

METRIC	FY23	FY24	FY25	TTM
Revenue	$12.16B	$12.12B	$12.18B	$12.54B
Op Ratio (GAAP)	76.5%	66.4%	64.2%	n/a
Net Income	$1.83B	$2.62B	$2.87B	$2.64B

Valuation cross-check

DCF Base $218.98 vs $338.23 = -35%

Reverse DCF implied CAGR 20.2%

Div yield 1.65%

On standalone fundamentals the stock is deeply overvalued; the reverse DCF CAGR is more than double anything the railroad has ever delivered.

JPM PT $318 Neutral, Susquehanna PT $350 Neutral

UNP/CSX trade at similar ~20-22x forward P/E

Analysts rate it on deal value, not earnings. The merger is the entire valuation debate.

Trading near 52-week high ($358.60)

Above the $320 merger announcement value

Price has been pinned to deal value since July 2025; there is no standalone re-rating story in the multiple.

What to monitor

Oct 22, 2026. Q3 2026 Earnings (Two-Sided): Record revenue streak vs OR pressure. Q2 adjusted OR worsened 210 bps despite +11% revenue.

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2027. STB Merger Decision (Two-Sided): Approval locks in merger value; rejection collapses a ~68% premium to our standalone DCF base.

2027. Merger Synergies (Positive): $2.75B annualized synergies and 7 premium intermodal lanes if the UP deal closes.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$12.7B	$5.2B	$5.2B	$6.0B
2023	$12.2B	$4.4B	$4.3B	$4.3B
2024	$12.1B	$4.5B	$4.9B	$5.5B
2025	$12.2B	$4.4B	$4.6B	$5.8B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$38.9B	$26.2B	$12.7B	$456M
2023	$41.7B	$28.9B	$12.8B	$1.6B
2024	$43.7B	$29.4B	$14.3B	$1.6B
2025	$45.2B	$29.7B	$15.5B	$1.5B

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$4.2B	$-1.9B	$-3.0B	$2.3B
2023	$3.2B	$-2.3B	$115M	$852M
2024	$4.1B	$-2.4B	$-1.2B	$1.7B
2025	$4.4B	$-2.2B	$-1.9B	$2.2B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $209.87 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 46 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.04% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $0 of sales, a net flow of $0. One-year total shareholder return is +15.6% against CEO total pay of $4.23M (Mr. Mark R. George), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.04% of shares held by insiders
Form 4 Flow (Conviction Flow)	18 / 30	Buys $0 (0) vs sales $0 (0), net $0, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +15.6%; Mr. Mark R. George, President, CEO & Director, total pay $4.23M
Agency Risk Score	**46 / 100**	Regime: BALANCED / TYPICAL CORPORATE

SEC proxy audit, DEF 14A filed 2026-03-27

Alignment grade B. DATA NOT PROVIDED IN EXCERPT. Mark R. George, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

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The provided excerpt covers director nominee profiles and high-level 2025 operational metrics, omitting the Summary Compensation Table and CD&A disclosures located later in the filing. Following Mark R. George's transition from CFO to President and CEO in late 2024, the company recorded a 220 basis point improvement in operating ratio and a 10% increase in diluted EPS. Full evaluation of incentive target rigor and alignment with TSR requires access to the executive compensation tables beginning on page 45.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/702165/000119312526127620/nsc-20260327.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

STB Merger Rejection

First major rail merger judged under the STB's 2001 rules, which require enhanced competition, not just maintenance. UP agreed to a $2.5B reverse termination fee if the deal dies. Rejection would collapse the merger premium.

Economic Cyclicality

Freight volumes track industrial production. A recession would cut carloads across intermodal, metals, and automotive while the fixed cost base barely moves.

Operating Ratio Pressure

Adjusted OR already worsened 210 bps in Q2 and opex guidance was raised. Fuel costs and labor inflation are persistent headwinds to the OR improvement story.

Legacy Costs and Leverage

Eastern Ohio incident costs and merger-related expenses keep recurring in adjustments. Debt of $16.6B at 116% debt-to-equity leaves limited cushion if earnings soften.

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The strengths

Operating Quality

Class I railroad with genuine duopoly economics in the East. OR improved from 76.5% to 64.2% GAAP since 2023, $4.4B railway operating income, steady dividend. But adjusted OR still 65.5%, well behind best-in-class peers, and leverage is high at 116% debt-to-equity.

Recent Trend

Top line is genuinely strong: record quarterly revenue, +11% YoY, +4% volume. But margin control slipped badly, with adjusted OR up 210 bps and opex guidance raised to $8.8-8.9B. Revenue is carrying the stock, costs are not.

Forward Growth

Intermodal and industrial demand are improving, $215M+ of productivity savings were delivered, and the merger promises $2.75B in synergies. But organic railroad growth is low-single-digit and the OR trajectory, not volume, decides earnings.

Valuation

Standalone DCF base $218.98 implies 35% downside from $338.23, and the reverse DCF needs a 20.2% revenue CAGR, which is fantasy without the merger. The stock trades as merger paper at deal value, not as a railroad. Terminal value blends two legs 50/50: a Gordon perpetuity at 2.5% growth on terminal-year free cash flow and an EV/EBITDA exit on terminal EBITDA (11.0x bear, 14.5x base, 15.0x bull). In the base case the legs are $52.4B (Gordon) and $102.8B (exit), blended to $77.6B: the exit leg runs about 2.0 times the Gordon leg, and we state that relationship rather than smooth it. The present value of terminal value is 81.6% of enterprise value (bear 79.0%, bull 81.8%). Cash flows are unlevered and are discounted at a weighted WACC of 8.90%: the live CAPM cost of equity blended with an after-tax cost of debt at market-value weights (corrected 2026-10-22; the prior build discounted unlevered FCF at cost of equity alone, 9.76%).

Cascadia scorecard

Composite score 58: Fair. Confidence Medium, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Class I railroad with genuine duopoly economics in the East. OR improved from 76.5% to 64.2% GAAP since 2023, $4.4B railway operating income, steady dividend. But adjusted OR still 65.5%, well behind best-in-class peers, and leverage is high at 116% debt-to-equity.	78
Recent Trend	Top line is genuinely strong: record quarterly revenue, +11% YoY, +4% volume. But margin control slipped badly, with adjusted OR up 210 bps and opex guidance raised to $8.8-8.9B. Revenue is carrying the stock, costs are not.	70
Forward Growth	Intermodal and industrial demand are improving, $215M+ of productivity savings were delivered, and the merger promises $2.75B in synergies. But organic railroad growth is low-single-digit and the OR trajectory, not volume, decides earnings.	62
Valuation	Standalone DCF base $218.98 implies 35% downside from $338.23, and the reverse DCF needs a 20.2% revenue CAGR, which is fantasy without the merger. The stock trades as merger paper at deal value, not as a railroad. Terminal value blends two legs 50/50: a Gordon perpetuity at 2.5% growth on terminal-year free cash flow and an EV/EBITDA exit on terminal EBITDA (11.0x bear, 14.5x base, 15.0x bull). In the base case the legs are $52.4B (Gordon) and $102.8B (exit), blended to $77.6B: the exit leg runs about 2.0 times the Gordon leg, and we state that relationship rather than smooth it. The present value of terminal value is 81.6% of enterprise value (bear 79.0%, bull 81.8%). Cash flows are unlevered and are discounted at a weighted WACC of 8.90%: the live CAPM cost of equity blended with an after-tax cost of debt at market-value weights (corrected 2026-10-22; the prior build discounted unlevered FCF at cost of equity alone, 9.76%).	30
Catalysts & Risk	Q3 earnings Oct 22 and STB procedural milestones are near-term positives; more unions now support the merger than oppose it. But this is a binary: STB rejection would likely erase 30%+ of the price. Risk skew is fat-tailed and negative.	60

Investment view

STB approval (expected H2 2027) confirms the merger value; rejection would likely cut 30%+ off the price toward standalone value. Near term, the Oct 22 Q3 OR print decides whether the margin slippage is one-off or structural.

Investment view: Hold, Valuation Concerns. The $209.87 blended target implies -38%, balancing the $143.90 / $218.98 / $257.62 Bear / Base / Bull outcomes.

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